

nies, state governments, and even daily wage workers are getting parametric insurance coverage against high rainfall, extreme heat, severe cyclones and other catastrophic events. All want to hedge their returns and livelihood against climate risk.

Parametric insurance does not work on the principle of indemnity. It is agnostic to the actual loss a business may suffer because of an event. It covers the probability of pre-defined climatic events, like earthquakes or cyclones.

But the question is—who will decide? The insurance company and client agree on a third party agency, which can be a meteorological agency, which certifies if a natural calamity has occurred and determines its magnitude, eliminating the need for a surveyor to conduct a loss survey. Hence, payouts happen quickly.

Climate change is impacting businesses across sectors and that is widening the products and customisation of parametric insurance globally. A report by the University of Delaware released in December 2023 said that India suffered 8% of GDP loss in 2022 due to climate change.

CLIMATE-PROOFING BUSINESSES

FMCG players like PepsiCo and Coca-Cola, e-commerce player Flipkart, and app-based cab-hailing service Uber are all considering parametric covers to protect their businesses against extreme climate events. Let's unpack why.

Take Uber for example. Heavy rainfall affects bookings on the app, affecting demand. Uber India is now in talks with insurance players to cover the risk of rainfall beyond a certain threshold to mini-

mise losses.

In the case of beverage-makers Coca-Cola or Pepsi in India, fluctuating temperatures during the summer in North India could affect demand. Therefore, these companies are looking for safeguards against the drop in sales.

Parametric insurance started in agriculture some two decades back, but many other sectors are exposed to climate risks as well.

Deepak Kumar, Senior Executive Vice President & Head of Reinsurance, Credit & Aviation Insurance, at insurance company TATA AIG General Insurance, says the demand for weather-related insurance is growing steadily, driven by awareness of climate risks and the need for financial resilience.

“Our clientele includes renewable energy players, government disaster management commit-



MARKET SIZE

GLOBAL

2023 (\$ BILLION) **14.8**

2028 (EXPECTED GROWTH, CAGR) **9.60%**

THE US

2023 (\$ BILLION) **5.5**

2028 (EXPECTED GROWTH, CAGR) **11.50%**

INDIA

2023 (\$ BILLION) **0.05-0.1**

2028 (EXPECTED GROWTH, CAGR) **20-25%**

SOURCE MARKET RESEARCH